

Part VII

The AI Strategy Consulting Project

"Strategy is not demonstrated by describing frameworks. It is demonstrated by solving important organizational problems."

Introduction

The AI Strategy Consulting Project is the signature learning experience of this course. Throughout the semester, student teams serve as strategic advisors to an existing organization that is confronting opportunities and challenges created by artificial intelligence.

Rather than completing unrelated assignments, students progressively build a professional consulting engagement. Each week's readings, Harvard Business School cases, AI laboratories, and Theory Evolution Exercises contribute to the final deliverables.

The project integrates the **AI Strategy Evolution Framework (AISE)** with classical strategic management theory, contemporary AI scholarship, and executive decision making.

The objective is to produce recommendations suitable for presentation to a senior executive team or board of directors.

Learning Objectives

The consulting project enables students to:

- Apply classical strategic management theories to real organizations.
 - Evaluate organizational readiness for AI adoption.
 - Identify AI-enabled strategic opportunities.
 - Design responsible AI governance structures.
 - Develop implementation roadmaps.
 - Communicate executive recommendations professionally.
 - Integrate scholarly research into managerial decision making.
 - Demonstrate evidence-based strategic reasoning.
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Project Overview

Each consulting team selects an existing organization from one of the following sectors:

- Manufacturing

- Financial Services
- Healthcare
- Retail
- Technology
- Logistics
- Government
- Higher Education
- Nonprofit Organizations
- Professional Services

Teams may also propose an alternative organization with instructor approval.

The organization should be experiencing significant technological change, digital transformation, or strategic uncertainty where AI could materially influence long-term performance.

Consulting Methodology

The project follows the seven stages of the AI Strategy Evolution Framework.

Stage 1 – Strategic Diagnosis

Students evaluate:

- Industry structure
- Competitive environment
- Customer segments
- Strategic challenges
- External opportunities
- Threats
- Emerging technologies

Deliverable:

Executive Industry Analysis

Stage 2 – Organizational Capability Assessment

Students assess:

- Resources
- Core competencies
- Data assets
- Technology infrastructure
- Leadership capability
- Organizational culture
- AI maturity

Deliverable:

Capability Assessment Report

Stage 3 – AI Opportunity Portfolio

Students identify opportunities for AI to improve:

- Products
- Services
- Operations
- Customer experience
- Innovation
- Decision making
- Competitive positioning

Each opportunity is evaluated according to:

- Strategic impact
- Feasibility
- Organizational readiness
- Risk
- Expected value

Deliverable:

AI Opportunity Portfolio

Stage 4 – Strategic Alternatives

Students develop multiple strategic options.

Each option must be evaluated using:

- Porter
- Barney
- Teece
- Grant
- March
- Williamson
- AISE Framework

Deliverable:

Executive Strategy Memorandum

Stage 5 – Responsible AI Governance

Students design an enterprise governance framework addressing:

- Ethics
- Privacy
- Security
- Regulatory compliance
- Board oversight
- Risk management
- Human accountability

Deliverable:

AI Governance Framework

Stage 6 – Organizational Transformation

Students develop a comprehensive implementation plan.

Topics include:

- Organizational design
- Leadership
- Talent strategy
- Change management
- AI operating model
- Performance measurement
- Resource allocation

Deliverable:

Transformation Roadmap

Stage 7 – Continuous Learning and Renewal

Students design mechanisms for:

- Organizational learning
- Continuous improvement
- AI performance monitoring
- Strategic adaptation
- Dynamic capabilities
- Innovation governance

Deliverable:

Strategic Renewal Framework

Weekly Milestones

Week	Deliverable
1	Organization selection and project charter
2	Industry and competitive analysis
3	Organizational capability assessment
4	AI opportunity portfolio
5	Knowledge and data strategy assessment
6	Strategic alternatives and executive memorandum
7	AI governance framework
8	Organizational transformation roadmap
9	Draft consulting report and executive presentation
10	Final consulting report and board presentation

Each milestone receives formative feedback and serves as the foundation for subsequent project work.

Required Final Deliverables

Executive Consulting Report

A professional consulting report of approximately 30–40 pages that includes:

- Executive Summary
 - Organizational Overview
 - Industry Analysis
 - Capability Assessment
 - AI Opportunity Portfolio
 - Strategic Recommendations
 - Governance Framework
 - Implementation Roadmap
 - Performance Measurement System
 - Conclusions
 - References
 - Appendices
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Executive Board Presentation

Teams deliver a 25–30 minute presentation to a simulated Board of Directors.

The presentation should summarize the consulting engagement and justify the proposed AI strategy.

Following the presentation, teams respond to questions from faculty and classmates acting as board members.

Theory Evolution Paper

Each student submits an individual paper entitled:

Toward a Theory of Strategic Management in the Age of Artificial Intelligence

The paper synthesizes the ten weekly Theory Evolution Exercises into a coherent scholarly argument.

Students should:

- Identify recurring theoretical themes.
- Evaluate which assumptions of classical strategy remain valid.
- Propose revisions to existing theories.
- Suggest future research directions.
- Discuss implications for executives.

This assignment emphasizes synthesis, originality, and scholarly reasoning rather than literature review alone.

Assessment Criteria

Projects are evaluated using the following criteria.

Criterion	Weight
Strategic Analysis	20%
Integration of Strategic Theory	20%
Application of AI Research	15%
Quality of Strategic Recommendations	15%
AI Governance and Ethics	10%
Executive Communication	10%
Professional Presentation	5%
Original Theory Evolution Paper	5%

Professional Standards

Consulting reports should demonstrate the quality expected of a professional strategy consulting engagement.

Students are expected to:

- Support arguments with scholarly evidence.
- Clearly distinguish facts, assumptions, and recommendations.

- Acknowledge uncertainty where appropriate.
- Document AI use transparently.
- Maintain a professional writing style.
- Present visually compelling exhibits and figures.
- Develop actionable recommendations.

The goal is to produce work suitable for presentation to senior executives rather than a traditional academic term paper.

Relationship to the AISE Framework

The consulting project is intentionally organized around the seven stages of the AI Strategy Evolution Framework.

Students repeatedly apply AISE to:

- weekly readings,
- Harvard Business School cases,
- AI laboratories,
- consulting milestones,
- executive presentations,
- and the final consulting report.

By the conclusion of the semester, students should not only understand the framework conceptually but also demonstrate the ability to use it as a practical tool for executive strategic decision making.

Capstone Reflection

The AI Strategy Consulting Project represents the culmination of the course. Students leave the semester having completed an authentic consulting engagement that integrates foundational strategic management theory, contemporary AI scholarship, responsible leadership, and executive communication.

More importantly, students are challenged to move beyond the application of existing frameworks. Through the Theory Evolution Paper, they contribute their own perspective on how strategic management should evolve in response to artificial intelligence.

In doing so, the project reinforces the central premise of the course: the future of strategic management will not be defined solely by new technologies, but by leaders capable of critically evaluating, extending, and responsibly applying strategic theory in an increasingly AI-enabled world.